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MGT211 Introduction To Business Short Notes From Lecture No.01 to Lecture No.22 for Midterm Exam Preparation

Lecture 01 Business:

Definition:

Any activity to earn profit.

The word “business” is derived from the term “busyness.”

Entrepreneurship

A phenomenon in which a person searches for an opportunity and try to avail it.

Components of business

Industry

Commerce

Industry

Conversion of raw material into finished goods.

This is a form utility.



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Types of Industry

Primary Industry

Extractive Industry Extraction of underground resources.

Genetics People doing business by changing genes.

Types of industries

Secondary Industry

Construction Construction of buildings, roads, bridges etc.

Manufacturing Conversion of raw material into final goods.

Services Banking, consultancy, accountant, Lawyer, Interior decorator, designer, music composer etc.

Commerce

All those activities which start from the warehouse of the manufacturer to the buyer.

Types of commerce

Trade

Trade means buying and selling

Aid to trade

Institutions that are meant and build to assist and support the trading process.

Factors of production

Labor People working in an organization.

Capital Amount invested by investor in the business.

Entrepreneurship Management ability of the people who are running the business.

Physical Resources Land, labor, building, vehicles, machinery etc.



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Economic System

A system for allocation of resources.

Types of Economic Systems

Planned Economy

Free market Economy

Types of environmental forces

External Forces

Factors found outside an organization.

These factors are not controllable by the organization.

Types of environmental forces

Internal Forces

Factors within the organization.

These are controllable by the organization.

SWOT Analysis

Strengths

Weaknesses

Opportunities

Threats

Lecture 02

External Factors

Economy of the country

Per capita income of the country



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General employment or unemployment

Economic Growth

Exchange rate

Inflation rate

Demographic factors

Demographic factor is a study of population

Population brings customers.

Population tells the size of market and nature of customers.

Total Population

Population Distribution

Distribution on the basis of gender

In Pakistan female population is further divided into two categories:

Household Women

Working Women

Population growth rate

The rate at which population of an area increases/decreases.

Political and Legal factors

Political Factors

Preference and priorities of the Government

Attitude of the Government towards Exports

Government taxation policy

Legal factors

Laws related to Health



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Laws related to Imports and Exports

Laws related to Taxation

Laws related to Packing

Laws related to Child Labor

Laws related to Labor Union

Technological Factors

Business people have to pace with the technological advancements.

Socio cultural Factors

Religion

Followers of one religion have influence over the buying behavior of the society.

Natural Factors

Act of God

Natural factors are out of our control

Business people will develop product considering natural resources

Lecture 03

Sole Proprietorship:

Definition

Sole Proprietorship is that type of business which is owned by one person.

Advantages of Sole Proprietorship

Freedom in formation

The easiest to establish

Individuals are allowed to decide without interference of any other person.



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Easier to transfer the ownership of the business

People wholly solely enjoy the ownership of the business and profits

Individual has unlimited opportunity to expand the size of the business

Individual can keep the secrets of the business intact

Individual has personal interest in the business

Owners can make speedy decisions

Easy to dissolve

Disadvantages of Sole Proprietorship

Limited amount of capital

Continuity problem

Sole Proprietorship has limited life and is dependent on the owner

Owner of the business has unlimited liability towards people whom he has to pay

Partnership

A relationship of the people to share investments and profits

Partnership act 1932 governs all affairs of the partnership

Advantages of Partnership

More capital

Relatively easier to form

Sharing of responsibility

Light credit standing

Business can have more loan from various sources

Secrecy

Public Confidence

Better Decision



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Easy to dissolve

Lecture 04

Disadvantages of Partnership

Unlimited Liability

Partners will have to pay all the debts of the business even from their personal property.

Shorter Life

Partnership ends when one of the partners dies or becomes insane

Limited Capital

Partners run the business from their own capital. Sometimes, that capital becomes limited to meet the requirements of the business.

Lack of interest

Profit is divided among the partners. So, partners do not take keen interest in the business.

Slow Decision Making

Partners might have different point of view regarding a particular matter. So, decision making is relatively slow.

It is difficult to transfer the rights of partnership.

There is always a chance of conflict.

Types of Partners

Active Partner is one who participates in all the affairs of the business.

Secret Partner is one who has invested in the business but he/she is not known to general public.

Sleeping Partner is one who is not very active in the affairs of the business.

Senior Partner is one who has invested the maximum amount in the business.



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Junior Partner is one who has invested the minimum amount in the business.

Types of Partnership

Partnership at will

Life of the partnership depends upon the will of the partners.

Limited Partnership

That business in which at least one partner has the limited liability.

Investor is liable to the amount; he/she has invested in the business only. This is called Limited Liability

There will be at least one partner who has the unlimited liability.

Particular Partnership

Partnership formed for a particular purpose.

It is dissolved automatically at the achievement of the purpose.

Termination of Partnership

By Notice

A partner can terminate partnership by giving notice to other partners due to any reason.

Upon Death

Partnership will automatically be terminated at the death of any partner.

Partnership Deed

A document that contains the terms and conditions of the business.

Contents of Partnership Deed Date on which the agreement was made.

Name of the business.



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Nature of the business.

This clause will cover the scope of the business.

Names, addresses, telephone Numbers and emails of the partners.

Capital of the business.

If duration is attached with any business that should clearly be mentioned in the partnership deed.

Duties of the partners.

Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary.

Profit distribution ratio.

Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.

Arbitration

In case of a conflict, how that conflict would be resolved before going to the court.

The partner should read the partnership deed carefully, add as much clauses as possible and never take anything for granted.

Rights of the partners

Every partner has the right to:

Participate in all the affairs of the business.

Get his/her share of profit from the business.

Leave the partnership according to the terms and conditions of the partnership deed.

Claim the salary against his/her services.

Participate in the management of the business.

Lecture 05



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Duties of Partners

Partners have to maintain accounts which describe the true picture of the business.

Partners should use their powers within limits specified in the partnership deed. Partners are responsible to provide accurate information to Government bodies.

Partners are responsible to pay their share in case of loss to the business. It is duty of every partner to obey the decision that has been made in the partnership.

Partners should not disclose any secret information about the business to any other person.

It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

Joint Stock Companies

Joint Stock Companies are formed under the Companies Ordinance 1984.

Joint Stock Company is an association of persons for making profit.

Advantages of Joint Stock Companies

We can expand the business

Credit facility

More capital

With more capital and more expertise, companies have more chances to earn more profit.

Expansion in the scale of business

Responsibility of investor is limited to the face value of shares. This is called Limited Liability.

If one person dies or leaves the country, it does not have any impact on the business.

Life of the joint stock company is longer than sole proprietorship and partnership.

It is easy to transfer rights.



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Company can hire better experts which results in better management. Public place more confidence in companies rather than in any other form of business.

Anyone can exit from joint stock company by selling his/her shares.

Disadvantages of Joint Stock Companies

Formation of Joint Stock Company is very lengthy, very complicated and very technical job.

Lack of interest.

There is not much secrecy found in companies.

Companies pay double taxation to the Government.

Delayed decision making

Power is centralized because there are few people who hold major portion of company's shares.

Public Limited Company Vs Private Limited Company

Number of members

For a public limited company, minimum numbers of members are seven.

For a private limited company, minimum numbers of members are two.

Issue of shares

Public limited company is bound to promote issue of shares to general public through media.

There is no such provision for private limited company.

Name of the company

Public limited companies add the word "Ltd." with their name.

Private limited companies add the word "(Pvt) Ltd." with their name.

Annual report

Public limited companies have to present their data to general public.

There is no such provision for private limited company.

Transfer of shares



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It is easy to transfer shares in public limited companies.

In private limited company, shareholder cannot transfer the shares without the consent of other members.

Statutory meeting

It is obligatory for the public limited company to hold statutory meeting.

There is no such obligation for private limited company

Submission of annual report

It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.

It is not necessary for private limited company.

Taxation

Public limited company pays double taxation at different income tax rates.

Private limited company pays tax only once at different income tax rates.

Lecture 06

Promotion Stage

Initiation of idea

Further discussion with other people

Collection of further information regarding sales, profitability, availability of machinery, restrictions of the Government etc.

Some other factors

Is there a need for a license for this business?

Is N.O.C required from the Government?



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Promoters have applied for license and permission.

If copyrights are involved, permission of the principal company is also required.

People started work for getting their own name and business registered.

Requirement of funds.

Preparation of Documents

Memorandum of the company

A document that contains Name, address, objective and capital of the company.

Articles of association

A document that contains rules and regulations of the company.

Prospectus

Prospectus is an initiation for offer.

Incorporation Stage

All the documents will be filed to the registrar joint stock companies to seek permission for the business along with the registration fee.

Experts will examine these documents and make sure that all claims are justified or not.

If they are satisfied, a certificate of incorporation will be issued to the company.

Collection of Capital

Promoters will inform the general public that business is going to be started.

They will ask the people to invest in the business.

This is capital subscription stage.

Share or stock is the smallest unit of investment.



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Stock exchange is a market where people exchange their shares.

Debenture is a kind of loan which is acquired from the market.

Certificate of commencement is issued by the Government when commencement of business is allowed.

Clauses of Memorandum of Association

Name of the business

We cannot suggest a name that has already been registered.

We cannot suggest a name after our National Heroes.

Registered office of the company.

Objective clause of the business.

Authorized capital of the company.

Liability clause

Liability of the investor is limited to the extent of investment in the business.

Association clause.

Articles of Association

Share capital of the company.

Procedure to change the capital.

Procedure for meetings.

Procedure for voting.

Appointment of directors.

Directors are the officials of the company who are appointed to run the affairs of the business.

Duties and authorities of directors.

Rights of shareholders.



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Meetings.

Meeting of shareholders.

Meeting of directors.

Disqualifications.

Seal of the company.

Distribution of dividend.

Profit distributed among shareholders is called dividend.

Decision for retained earnings.

Retained earning is a part of the profit retained by the company for future operations.

Appointment of auditors.

Winding up of companies.

Lecture 07

Shareholders' meetings

Statutory Meeting is the first meeting after commencement of business.

Annual General Meeting is the meeting of the company once in a year.

Extra Ordinary General Meeting.

Statutory Meeting

Section 77 of The Companies Ordinance 1984 deals with such type of meeting.

The company must give 21 days notice to shareholders prior to the meeting.

Matters to be Discussed:

Amount of capital acquired.

Details of machinery purchased.



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Details of development in all areas of the business.

Sometimes, issue of share capital does not give minimum amount set by the company.

Underwriters are those organizations which guarantee the company to buy the remaining shares, if minimum requirement is not met.

Statutory report will also tell about the underwriters and commission paid to them.

Information about arrears to be received by the company.

Annual General Meeting

All shareholders will participate in this meeting which is held once in a year.

The company must give 21 days notice to shareholders prior to the meeting.

Objectives of Annual General Meeting

Election of directors for the next year.

Appointment of auditors.

Auditors will review the annual accounts of the company and report on the accuracy of these accounts.

Shareholders will elect and approve the appointment of auditors.

If auditors are already hired, the shareholders will review their performance and decide whether to continue with current auditors or to change them.

Auditors will also be asked whether they are willing to work with the company or not.

Declaration of dividend.

Decision for directors' remuneration.

Auditors will report on the companies accounts in terms of:



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Accuracy

No fraud found

Conformity with the Companies Ordinance 1984.

Extra Ordinary General Meeting This meeting will be called when there are:

Some extra ordinary circumstances.

Some special type of business.

Decision for debentures.

The company can change its memorandum and articles of association in extra ordinary general meeting.

Share Capital

The capital with which the company gets registration is called Authorized Capital of the company.

The part of capital that has been offered to general public is called paid up or issued capital.

The part which has not yet been issued to general public is called un issued capital. If people have applied for more capital than required, the company will issue the shares by balloting and return the excess money to the general public. If people have applied for less capital than required, whatever amount has been received will be the paid up capital of the company.

Winding up of the company

Voluntary winding up

The members of the company decide about winding up of the company.

Special Resolution

Members will present special resolution in the extra ordinary general meeting regarding winding up of the company. If approved by the members, the company will be dissolved.

Winding up by court



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Members have applied to the court for winding up of business.

If court feels that:

Business is not in the benefit of the society.

Objective of the business is not in line with the culture of the country.

Business is deceiving the general public.

The court will order that business should be closed immediately.

Lecture 08

Co-operative Societies

Co-operative societies are group of people who form the business to co-operate

with each other.

The main purpose of co-operative societies is to co-operate with each other through self help.

People join these organizations as volunteers.

Advantages of Co-operative Societies

This system provides high standard of life due to sharing of resources.

Formation is easy because Government support these kind of organizations. People running the business have equal rights in decision making regardless of number of shares or amount invested in the business.

Economic Democracy

People sit together and decide about the business of the society.

Elimination of middle man results in cheaper products.

Government gives financial assistance to these type of businesses.



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Friendly atmosphere is developed in the society due to close relationship in the people running the business.

Employment opportunities are created by such businesses.

A sense of mutual co-operation is developed in the society.

An opportunity to keep demand and supply in balance.

This kind of business requires less expenditure.

Disadvantages of Co-operative Societies

People do not have sufficient capital to start such business.

Unavailability to hire professional manager because:

People do not have money in remote areas.

There are no such people in those areas.

People do not have experience of such business.

Lack of secrecy.

Unavailability of new technology.

These are not businesses in true sense. People might not have confidence in these businesses.

Banks might not provide loans to these businesses.

Interference of the Government.

Entrepreneurship

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

Who are Entrepreneurs?

People have more entrepreneurial abilities who:

Have aspiration.



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Are more strategic.

Have the vision.

Characteristics of Entrepreneurs

Resourcefulness

Abilities

Concern of being good.

Lecture 09

Entrepreneurial Characteristics

Personal Interest

Interest for their own development.

Customer Relationship

Long term relations with the customers.

Desire to establish own business.

Need of control.

Ability to deal with uncertainties.

Business Plan

A document which contains the objectives of the business and the ways to achieve these objectives.

Components of Business Plan

There are two situations:

Buying a business.

Starting from the scratch.

Objectives of the business.

Marketing Components.



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Financial Components.

Components of Business Plan started from scratch

Objectives of the business:

Name of the business.

Name should indicate the type of business.

Name should be simple.

Uniqueness of name.

Legal considerations:

Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.

Location of the business.

Marketing Part:

Who will be the customers of the business?

Where are they located?

What would customers like to pay for the product or service?

What are the benefits, the customers are expecting from the product or service?

Analysis of competitors:

What is the nature of competition in the market?

Who are the competitors of the business?

How product of the business is different from product of the competitors?

Promotional Part

How will the message of the business be promoted in the general public?

How will the business be launched?

Financial Part



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What will be the investment of the business and how much should be borrowed?

What are going to be expected revenues in a given period of time?

What would be the expected expenses of the business in a given period of time?

What would be net income or net profit in a given period of time?

Is the business feasible or not?

Administrative Part

What would be the structure to handle the business?

Lecture 10

Franchising

An agreement between two parties in which one party passes on the rights to the other party.

Rights include:

Right to use the trade mark.

Right to use the name.

Right to use systems, methods and researches.

Right to use packing material. Parties to Franchise

agreement

There are two parties:

Franchiser

Franchisee

Franchiser is one who sells the rights to franchisee.

Advantages of Franchising

Franchiser gets a huge amount of money from franchisee without doing anything.



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Franchisee gets access to big business.

Failure rate of franchise business is lower than any other business.

Franchisee uses world wide tested brand and tested procedures that is why failure rate is lower in this type of business.

Franchiser provides guidance to franchisee in all affairs of the business.

Choice of location

Franchiser is always there to support the franchisee in all kinds of matters.

Disadvantages of Franchising

High cost.

Proportionate profit is given to franchiser by franchisee every year.

There are too many restrictions from franchiser on the franchisee.

New Trends in the Business

E-Commerce or E-Business

Using internet for marketing products.

Women in business

So many women have come in so many areas of business.

Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

Global opportunities

People have the awareness of global market.

Internet has played major role in accessing global markets.

In Pakistan, people got huge success globally but could not make a brand name in global market.



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Factors for lower failure rate

Government's preferences and priorities.

Government is convinced to support corporate sector.

Businesses are now being set up on more professional grounds.

Support from financial institutions.

General economy of the country.

People are acquiring professional knowledge about business.

Government has developed many training centre to train people related to business.

Skills development.

Institutions to develop man power.

Lecture 11

Causes of Failure in Business

Causes of Failure in People are not capable of handling business.

Some people are not capable enough to know markets.

People should try to learn the abilities to run the business.

People do not have experience required for a business.

We need to have control over:

Production Process

Cost

Wastage

Complaint handling

Quality

Insufficient capital



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Bad Luck

National Disaster

Reasons for Success in Business

Hard work

Dedication and Commitment

Response of Market

Competence - The ability to work

Knowledge of Market

Knowledge of Product

Knowledge of Systems

Luck and Act of God

Law of Government

Law related to health

Climate change

Disaster

Joint Venture

Two or more people or organizations join hands and decide to do a business.

Advantage of Joint Venture

Combination of skills and abilities.

Strategic Alliance

Two or more than two organizations collaborate for mutual profit.

Decision involved in Strategic Alliance

Profit Sharing

Client Handling

Merger



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Two or more organizations combine together and form a new organization.

Acquisition

One business acquires the other business.

Advantages of Acquisition

Expansion of size

To reduce competition

Lecture 12

Imports

Goods produced somewhere else and sold domestically.

Chemicals

Technology (Machinery, Software & Hardware, Expertise)

Factors to be considered while importing Identification of products to be imported.

Procedures, methodologies, technical processes and documents for imports.

Exports

Goods produced domestically and sold in some other country.

Advantages of Exports Support of Government.

High Profits.

Pride for the country.

Utilization of production capacity.

GATT - General Agreement on Tariff & Trade.

An agreement between the countries that encourages international trade.



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WTO - World Trade Organization

Scope of WTO

WTO insists on removing the artificial barriers to encourage international trade.

WTO was organized on January 01, 1995.

Per Capita Income

Per Capita = Total income of the country /

Total population

Tools for measuring economies of the world

World can be divided in to three major categories on the basis of per capita income.

High income countries

Those countries where people are earning US \$9000 or more.

Middle income countries

Those countries where people are earning between US \$765 and \$9000.

Tools for measuring economies of the world

Lower income countries

Those countries where people are earning below US \$765.

Pakistan has a little below than US \$765 income line and is moving towards middle income class countries.

Pakistan is exporting

Sports items

Agricultural products (rice)

Textile products (Bed Sheets, T-Shirts, Towels etc.)

Import and Export Balance



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Gap between imports and exports is called surplus and deficit.

It varies from country to country.

Balance of Payment

Balance of payment = Total receipts - Total payments If receipts are greater,
balance of payment is favorable.

If payments are greater, balance of payment is unfavorable.

Level of involvement in international business

Imports or Exports

We can be importer and exporter.

We try to see opportunity in international market to consume surplus products.

This is called exports.

International Firms

International firms have operations world wide.

These firms are also called multinationals.

Multinationals design products separately for each country.

Global Organizations

Those organizations which consider the whole country as single market are called global organizations.

These organizations have standardized products all over the world.

International Organizational Structure

Independent Agent

A person or an organization that works for an exporter or importer.

Appointment of representative abroad.



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Licensing agreement, Independent Branch Office.

Strategic Alliance.

Direct Foreign Investment.

Lecture 13

Barriers to International Trade

Social and Cultural Changes.

Different countries have different life styles.

Religion.

Every religion has its own set of rules for its followers.

Religion asks for spending on certain things and stops from spending on certain things.

Climate

Laws

There are different laws in different parts of the world.

These include laws related to:

Health

Safety

Customer Relationship

Pricing

Packing

Environment

Economic Differences

Per Capita Income is different in different countries.

Different people have different economic systems.

People preference for a particular product



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Political System

Tariff

Tax levied on goods entering into a country.

It is also used as a measure to reduce imports in a country.

Quota

Limit imposed by one country on importing commodities from another country.

Subsidies

Concessions provided by a country to its producers in order to protect economy.

Business Ethics

Ethics are basic beliefs, a company decides to pursue and implement during a course of action.

Ethical Behavior

A system that confirms the beliefs of the society.

Business is being run within that system.

Corporate Citizenship is a practice of the company confirmed by the society.

Ethical Behavior in Managerial Practices include:

Responsibility towards employees.

Relationship with other organizations.

Interaction with Government.

Plans to initiate ethical behavior towards people.

To initiate ethical programs.

Corporate Social Responsibilities

To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.



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These include:

Ethical attitude towards customers.

Dealing with employees.

Ethical communication with Government and local bodies.

Ethical behavior towards stake holders.

Lecture 14

Stake Holders

People who are interested in the affairs of the business in one way or the other.

Stake holders include:

Customers

Employees

Suppliers

Bankers

Government

Society at large

Rights of Customers

Consumerism

Protecting the rights of customers.

To get a product which is up to the expectations of the customers.

Customer Safety.

Right to get information about:

Product

Supplier

System



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Procedures

Standards

Ingredients of the product

Origin of the company

Right to get information about:

Method of manufacturing

Quality standards

Right to be heard

Right to choose

Quality Service

Responsibilities of the Organization towards Environment

Reprocessing of waste water.

Recycling of waste material.

Processing of smoke.

Reprocessing of heat.

Ethics for Advertising

Truthful or Truth less Communication

Objectionable Products

Objectionable Appeals

Fear Factor

Sexual Connotations

Objectionable Timings

Smoking

Selling product to underage customers

Legal Commitments



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Discriminations

Health and Safety of Employees

Whistle Blowers

People who see irregularities and bring them in the knowledge of the management.

Management

Getting things done through others.

Manager

A person who practices the functions to achieve management's objectives.

Functions of Managers

Planning

Thinking for the future.

Organizing

Decision about activities performed by the workers.

Grouping the activities

Delegation of authorities

Staffing

Filling out the vacant positions.

Coordination

Communication

Receiving information from various sources.

Processing of information.

Dissemination of information.

Distribution of information.

Conflict handling



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Negotiation

Resource Allocation

Controlling

To make sure that organization is moving towards the right direction.

Lecture 15

Managerial Skills

Conceptual Skills

Abilities to think at planning and organizing stage.

Interpersonal Skills

Abilities to deal with others.

Technical Skills

Knowledge of processes and operations.

Goals

Destination where a company wants to reach.

Strategy

Set of plans for long term orientations.

Levels of Strategies

Corporate Level Strategies

The strategies that cover all the operations, processes and units of organizations.

Strategic Business Unit (SBU)

A part of organization that requires separate planning.

Functional/Operational Level Strategies

The level at which all functions or operations are performed.

Objectives of Goal Setting



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Goals give us directions.

Resource Allocation.

Setting culture of the organization.

Assessment of performance.

Mission Statement

The purpose for survival of an organization.

Mission Statement describes life time objectives of the organization.

Mission statement is a general statement.

It is written in terms of:

Customer satisfaction

Quality of life

Service of humanity

Mission statement is a long term plan.

Types of Goals

Long Term Goals

Medium Term Goals

Short Term Goals

Short Term Goals

A plan for less than one year.

Medium Term Goals

A plan for one year to three years time.

Long Term Goals

A plan for more than three years.

Length of plan depends upon type of activities.



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Research shows that people, who plan, have higher rate of success in life.

Human Resource Management (HRM)

Human Resource Management is an area that deals with people who work in organizations.

HRM deals with the activities of people.

These Include:

Attracting people in the organization

Maintaining them

Recruitment

Selection

HRM deals with the activities of people.

These Include:

Training

Performance appraisals

Compensation

Health and Safety

Scope of HRM

Human Resource Planning

Type of people required

When required

How many people required

Job Analysis

Recruitment

Training

Compensation



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Health and Safety

Labor Union

Job Analysis

Collecting all the information related to a job.

It is divided into two parts:

Job Description

Job Specification

Job description describes the activities of a particular job.

It includes:

Job Title

Job Location

Working Environment

Supervision

Job Specification

Job Specification describes human skills required to perform a job.

It includes:

Qualification

Gender

Age

Experience Special Skills attitude

Lecture 16

Human Resource Planning



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HR Planning Includes:

What is the gap between human Resource demand and supply in the market.

What is the condition of human resource supply in the market.

Sources to find people

Internal Sources

External Sources

Skills Inventory

A chart that shows skills of workers in the organization.

Replacement Chart

A chart that shows turnover in an organization.

Turnover Rate

Tendency to leave jobs in an organization.

Retention.

To retain the people in the organization.

Expansion Plans..

Replacement on the basis of performance.

Recruitment

The process of attracting the people for the job. Advantage of recruitment

within the organization People are already trained.

Advantages of recruitment outside the organization

Variety of Talent

Variety of Abilities

Variety of Qualifications

Equal Employment Opportunity



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No discrimination on any grounds for hiring people.

Sources to find People

Informal Search

This method is used when reference is also required.

Job Posting

Putting notices for job on various places in the organization

Places can be:

Cafeteria

Fair Price Shop

Sports Field

Putting notices for job on various places in the organization Places can be:

Reception Desk

Notice Board

Union Office

Educational Institutions

Consulting educational institutions for suitable candidates for the job.

Educational Institutes are consulted when:

Fresh Graduates are required.

There are not many institutions for a particular job.

Short Listing of institutions.

Organizations involve teachers in the selection process.

Professional Associations

This method is used when people for senior posts are required.



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Recruitment Agencies

These are the organizations which have expertise in selecting people.

These agencies are used when:

Time span for selection is short.

Jobs are highly technical in nature.

Employer and employee are at a distant place.

Advertisement

Giving advertisement in media.

Media is used when:

Large numbers of jobs are available.

Disadvantages of using media

Large numbers of applications are received.

It is difficult to handle large number of applications.

Costly

Selection

The most important stage in HRM process.

It includes:

Filling up forms

Interviewing people

Developing tests

Application Blank

A form designed by the employer for the prospective employee to fill it out.

It records data according to the requirement of the organization.

Test and Interview



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Use of test and interview depends upon the nature and level of the job.

Types of Tests

Achievement Test

Test of knowledge acquired by the candidates in educational institutions.

Psychological Test

To determine the attitude and traits of the candidates.

Skills Test

Aptitude test

Test of prior learning

Skills test

Medical Test

To keep in record the physical condition of the candidate before joining the organization.

To make sure that candidate does not have any transferable disease.

Considerations for Test Development

Validity

Reliability

Validity

Content Validity

Contents of the test should be relevant to the requirement.

Construct Validity

Sequence of the questions.

Face Validity

Appearance of the test.



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Lecture 17

Infrastructure for Test

Space

Proper Temperature

Enough Quantity of Stationary

Evaluation of Test

Interview

Any verbal interaction is called interview.

Job Interview

A method of selection in which we interact with the candidate verbally.

Types of Job Interview

Telephonic Interviews Preliminary Interviews

Selection Interviews

Techniques for Final Interviews

Pattern Interview

Pre-decided questions are asked in a pre-defined sequence.

Non Pattern Interview

Questions are asked according to the situation

Shortcoming of Pattern Interview

Interviewer can not ask any question other than pre-defined questions.

Shortcoming of Non Pattern Interview

Possibility of non-professional and irrelevant questions.

Mix Interview

An interview in which some questions are pre-defined and some are situational.



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Ways to conduct Interview

One person interview

Panel Interview

A group of people related to the job conduct interview.

Arrangements for conducting Interview

Proper place

Preparation for questions

Read out the resumes of candidates.

Human Resource Development

Human Resource Development is done through training.

Methods for Training

On job Training

Learning while working

Off job Training

Difficulties in On Job Training

In certain jobs, on job training is not possible.

Methods for Off Job Training

Lectures

Cheaper method of training.

For some jobs, it is the most appropriate method.

Vestibule training

Artificial situation created for training people.



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Role Play

Business Games

Case Studies

Performance Appraisals

Evaluation of performance

Reasons for performance appraisals

Validation of Human Resource Program

Pay for performance

Compensation

Compensation can be:

Monetary reward

Non Monetary reward

Incentives

Plans for encouragement of employees in the organization.

Types of Incentives

Organizational Level Incentives

Paid to everyone in the organization.

Individual Incentives

Paid to individual employees who have done good job.

Lecture 18 Individual Incentives Employees are
paid for:

Good performance on job.

Good performance during training.

Collective Incentives

Incentives are paid to whole department.



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Incentives for the whole organization can be:

Profit Sharing.

Benefits other than salaries and wages.

Compensation

Salary is paid for longer period. e.g. for a week, for a fortnight, for a month or for a year.

Wages are paid for short term period. e.g. for a day or for an hour or on the basis of units completed.

Other ways for compensation can be:

Free or cheaper food.

Retirement Plans.

Pensions.

Medical Facilities.

Transportation Facilities.

Assistance for children education.

Equal Employment Opportunity (E.E.O)

No employee on any base will be discriminated for offering job opportunities.

Base can be:

Gender

Nationality

Religion

Area

Life Style

Race

In many countries, it is against the law and ethics.



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Some people are perceived fit for a particular job. This concept is known as Stereotyping.

Managers should not evaluate performance on the basis of:

Gender

Nationality

Race

Religion

Why do we need Equal Employment Opportunity (E.E.O)?

Job description does not provide any base for discrimination.

If law requires, we have to obey the law.

Ethics.

Research has shown, variety of people can perform better in an organization. This phenomenon is called Work Force Diversity.

Managers should encourage different types of people to join organization in order to enhance productivity.

Collective Affairs of Employees

Employees form labor unions in the organization.

There could be more than one labor organizations in the company.

Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.

Negotiations can be on:

Salary

Working Conditions

Timings

Facilities



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Benefits

Attitudes

Motivation

Motivation is a force that forces people towards a task.

Classical Theory of Motivation

People are motivated because of money or material objects.

Fredrick Taylor's Theory of Scientific Management

Every job should be studied scientifically.

Jobs should be divided on the basis of tasks and skills of labor.

Pay should be attached with productivity.

Time & Motion Studies

Time spent on jobs should be studied using scientific devices and motions of machines or human motions.

Objection on Fredrick Taylor's Theory of Scientific Management This theory considers human beings as machines.

Hawthorn Studies

Basic purpose of these studies was "Effect of light on productivity".

Productivity depends upon human relations.

Shortcoming of this theory was that human moods, human behavior, human liking and disliking and human interest were ignored.

Hawthorn Studies became a base for behavioral studies in organizations.

Lecture 19

McGregor Theory - X

Every normal human being dislikes work by nature.



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People work because of some pressure.

Pressure can be:

Salary

Advancement

Respect

Some other force

McGregor Theory - Y

People inherently like to work.

McGregor Theory - X & Y XType managers might:

Use punishment and threat to make people work.

Control activities of the work very closely.

Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.

In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior.

Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.

Why do People work?

Need

A state of felt deprivation.

Maslow's Hierarchy Of Needs

Biological Needs

Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc. Safety Needs Safety from:

Cold

Heat



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Sand

Storm

Earthquake

Animals

Enemies

Social Needs

Self Esteem

Worth attached by human beings to themselves.

People who have high self esteem are more productive.

Self Actualization

Fullest utilization of one's potential. Use of Hierarchy in

Motivation Biological needs can be fulfilled by:

Giving salaries.

Providing free or cheaper food to employees.

Providing routine items at concessional prices.

Safety Needs

Organization can provide safety devices to employees. For instance:

Helmet

Glasses

Gloves

Safety Needs

Organization can provide safety devices to employees. For instance:

Special purpose shoes

Medical Facilities

Houses



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House rent

Pick & drop service

Insurance

Pension plans

Preventing people from accidents

Social Needs

Organizations encourage informal organizational activities.

These include:

Combined lunch or dinner

Sports

Fun fair

Musical Programs

Lecture 20

Use of Hierarchy in Motivation

Self Esteem

Worth of human beings. These include:

Designation of Individuals. Status in the organization.

Recognition of employees in the organization.

Self esteem has direct relationship with productivity.

Various techniques can be used to make self esteem of employees high. These can be:

Finding titles for employees



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Recognition

Awards

Cash rewards

Increment in the salary

Promotion

Raising status of employees

Self Actualization

Fullest utilization of one's potential.

These include:

High Challenges

High position in the organization

Criticism on Maslow's hierarchy theory

It is possible that human needs may deviate from the order given by Maslow.

There is a question mark whether needs finish after self actualization or not.

Two Factor Theory or Hygiene theory

Hertzberg presented this theory by taking the phenomenon of human hygiene.

Two factors work in the organization:

Hygiene factors

Motivators

Factors required to keep employees in the organization are called hygiene factors.

Factors used to get high productivity from workers are called motivators. Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory.

Motivators are almost similar to social needs, Self esteem needs and self actualization needs of Maslow's hierarchy theory.



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Both factors should be present in the organization at the same time to get productivity from workers.

Expectancy Theory

People in the organization are motivated with:

Expectations about reward.

Assurance of getting reward by doing a particular task.

Equity Theory

Equivalence in inputs and outcomes.

Inputs of employees in an organization are:

Level of education

Skills

Experience

Reputation

Hard work

Connections

Outcomes of employees in an organization are:

Salaries

Designations

Promotions

Benefits

Social Status

Respect in the organization

Opportunities

Equity Theory

Individual will also compare his input/outcome with other individual's input/outcome.



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How can Equity Theory be implemented?

Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated.

People compare their rewards with the market as well.

Lecture 21

Reinforcement Theory

To strengthen desired behavior at work place.

To force the workers to adopt that behavior.

There are two ways for reinforcement:

Positive reinforcement

Negative reinforcement

Positive reinforcement means to encourage a particular behavior.

Negative reinforcement means to discourage a particular behavior.

Human Relations

Human Relations can be:

Employee to employee

Employee to employer

Purpose of human relations is to give a feeling of a family.

Job Enrichment

This is needed when people are under performing.

Job enrichment means adding something into the job.

To provide opportunities to employees to apply their talent, knowledge and creativity for performing more in the organization.

Job Re-designing



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To re-design a task.

Job Sharing

People share the work.

Management by Objective (MBO)

Idea of MBO is opposite to the traditional management.

Decision and planning is made in collaboration with the subordinates.

Difficulties with MBO

People do not understand the philosophy of MBO.

Application of MBO

Subordinates set their goals by themselves with the consultancy of top management.

Psychological Contract

A contract between employee and the organization.

With the achievement of psychological contract, workers will have high level of morale and satisfaction.

Leader

A person who influences people for the achievement of pre-defined goals.

Leadership

Ability of an individual to influence others.

Difference between a leader and a manager

Leader Manager

Leader is a change agent. Manager is more concerned with the status quo. Leadership

Powers of leaders

Position powers



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Personal powers

All those powers/authorities which are attached to a position are called position powers.

Position powers are transferable.

Powers attached with some person are called personal powers.

These are non transferable.

Types of leaders

Autocratic leaders

Leaders who take decisions by themselves.

This type of leadership is used in those circumstances when there is not much time for decision making.

These types of leaders have more centralized powers.

Managers take more powers when:

Managers do not trust their subordinates.

Subordinates might not have enough training.

Democratic Leaders

Democratic leaders share the ideas.

In this style, leaders will encourage more communication. Free-

Rein leaders

Managers depend more upon subordinates.

Encourage the subordinates to make decisions by themselves.

This approach is practiced when:

Staff is highly motivated.

People are working in synergistic environment.

Fully trained people.



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Difference of communication in leadership styles

In autocracy, there will be downward communication but no upward communication. i.e. one way communication.

In democracy, there is both way communications. I.e. upward and downward communication.

In free rein, there will be more communication among subordinates and occasional communication among subordinates and managers.

Method of decision making depends upon the situation.

Contingency approach of Leadership

Every job has its own uniqueness.

With the change in task, different type of leaders and different leadership style is required.

Lecture 22

Marketing

All those activities which make the exchange possible.

Exchange includes:

Exchange of goods, services and ideas from one person, organization and place to another person, organization and place.

A system of business activities designed to plan, price, place and promote goods, services and ideas to potential customers.

Potential Customers

A person, a body, an institution or a firm who has:

Need

Money

Willingness to spend money.

System



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A set of interrelated and interdependent activities.

Planning for marketing

What should be marketed?

When should be marketed? Where should be marketed?

Distribution

Pricing

What is going to be the price of the product?

Promotion

Should the product be promoted or not?

Marketing

Product is:

Anything that is offered for sale in the market.

All those things which are tangible.

Services are intangible. i.e. which are not touchable.

Marketing of ideas.

Marketing

Marketing ideas can be applied on non business activities. This is called social/societal marketing.

This includes:

Asking for donations.

Drive slow.

Say your prayers.

Need is a state of felt deprivation.

Marketers satisfy the needs through products, services, objects and ideas.



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Market is a place where people exchange goods, services and ideas.

Stages in Marketing

Production oriented stage

All the efforts are made to produce more and more.

Product oriented stage

Management focuses on quality of product rather than quantity of product.

Sales oriented stage

Sellers feel the need of an organized institution that coordinates all activities related to sales.

Marketing oriented stage

Unsatisfied needs of the customers are satisfied.

Societal Marketing stage

Benefits of society are considered by the organizations.

Value

Difference between cost and benefits of the product.

Utility

Ability of any commodity to satisfy the needs.

Forms of Utility

Time Utility

Customers get the commodity when they want.

Form Utility

Converting the shape of the product from one form to another.

Place Utility

Transportation of product from one place to another.



Ownership Utility

Product owned by the manufacturer is distributed to the end buyers through different steps.